

31 Provisions

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2026 objectives: 4.5.1-4.5.2

4 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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8 marks

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Current topic | 8 marks total | Original PDF p2

Related: Ch 19.

3 A proprietary general insurance company writes several classes of business.

- (i) Discuss the consequences of underestimating the effect of inflation when setting the claims reserves. [5]

A director has suggested that in order to maximise the returns to shareholders the free reserves should be invested in high growth equities. The company has a high level of free reserves.

- (ii) Discuss the suitability of the suggestion. [3]
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